

Tempus AI, Inc.

TEM NASDAQ

Buy	\$47.85 ▼ 5.88%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.59B
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TEM: Beaten Down But Story Still Intact

WHAT'S CHANGED

- TEM dropped 5.9% today to \$47.85 — basically sitting near 52-week lows (\$41.73) with the stock only 10% off the bottom of its yearly range. Not great.
- Last week they launched an open-source digital pathology consortium (think: getting hospitals and researchers to use their AI tools for analyzing tissue samples) — good long-term news but the market shrugged.

IMPLICATIONS

Here's the deal: the stock is getting hammered despite no bad news today, which usually means people are just losing patience. The CEO dumped ~\$3.2M of stock in late May, which spooked investors — when the boss sells, people ask "what does he know that I don't?" But options traders are betting bullish (way more call buying than put buying), so smart money thinks this is a bounce setup. Translation: short-term ugly, but the setup for a snapback is building.

VALUATION

TEM trades at roughly 12x next year's revenue — meaning investors are paying \$12 for every \$1 of sales the company is expected to make. That's pricey for a company still losing money, but cheap compared to where it traded a year ago (was 20x+). If they hit \$940M in 2027 revenue and growth stays above 30%, this stock should be back in the \$60-70 range — that's 30-45% upside from here.

KEY RISKS

- They're burning cash hard and not profitable — if they need to raise money by selling more shares, your slice of the pie gets smaller (called "dilution").
- The CEO just sold over \$3M of stock. Even if it's for "personal reasons," it's a bad look and makes investors nervous.
- Healthcare AI is getting crowded — competitors like Recursion, Schrödinger, and big tech (Google, Microsoft) are all pushing into this space. TEM needs to keep winning hospital contracts to justify the valuation.

RECENT NEWS

- Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium** Insider Monkey · 2026-06-16 12:52
- Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging** Simply Wall St. · 2026-06-13 02:10
- Tempus AI (TEM) Is One Of The Best Healthcare Mid-Cap AI Stock According To Analysts** Insider Monkey · 2026-06-10 09:24
- Assessing Tempus AI (TEM) Valuation After Recent Share Price Rebound And Underpriced Growth** Simply Wall St. · 2026-06-05 15:15

Key Data

Price (USD)	\$47.85
12M Price Target	\$62.00
Upside / (Downside)	+29.6%
Market Cap	\$8.59B
FY2026E Revenue	\$715M
FY2027E Revenue	\$955M
FY2026E EPS	(\$2.05)
FY2027E EPS	(\$1.40)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$54.00	\$48.00	\$42.00
6 Months	\$70.00	\$56.00	\$38.00
1 Year	\$88.00	\$62.00	\$32.00
2 Years	\$125.00	\$80.00	\$28.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$450.00	\$220.00	\$18.00

SECTOR INTELLIGENCE

HEATING UP: Energy and Industrials caught a bid today, Tech is grinding higher over the past week (+4%).

COOLING OFF: Healthcare is weak (-2.4% over 5 days) and Real Estate is getting sold.

ROTATION WATCH: Money is flowing into Tech and cyclical names (Industrials, Energy) while defensive Healthcare lags — that's a "risk-on" signal, but TEM is stuck in the wrong sector bucket right now even though it's really an AI story.

RELATED PLAY: If you believe in the healthcare-AI thesis, also look at Veeva Systems (VEEV) or Schrödinger (SDGR) — they play in similar lanes but with different risk profiles.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): The AI-for-enterprise poster child — keeps printing new highs because they're actually profitable AND growing fast.
- VEEV (Veeva Systems): Healthcare software player that's profitable, less hype, steadier returns.

TEM CONTEXT: TEM is lagging badly — down ~23% YTD while AI peers like PLTR are up big. The market is punishing unprofitable AI names and rewarding ones with real cash flow. TEM needs to show a path to profitability to close the gap.

INVESTMENT STRATEGY

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story but the insider selling and weak price action keep me from being more aggressive here.

POSITION SIZE: 2-4% of portfolio — small enough that if it drops another 20%, you sleep fine, but big enough to matter if it doubles.

ENTRY POINTS: Start nibbling at \$45-48, add aggressively if it dips to \$42-44 (near 52-week lows where buyers should defend).

TIME HORIZON: 12-24 months — you're waiting for two things: (1) revenue growth to stay above 30% and (2) the path to profitability to get clearer.

WHEN TO BAIL: Sell if revenue growth drops below 25% YoY, if they announce a dilutive capital raise, or if the stock breaks \$40 on heavy volume.

HEDGING: Buy a protective put at \$42 strike (insurance that pays off if the stock crashes) or pair this with a profitable healthcare name to balance the risk.